

US equities slip as yields rise and volatility spikes

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

Broad equity sell-off persisted on Thursday, with the **S&P 500** down **-0.58%** and the **Nasdaq 100** off **-1.08%**. The move was anchored by a jump in the 10-year Treasury yield to 4.94% (+2.21%) and a surge in the VIX to 17.84 (+8.38%), underscoring heightened risk aversion.

Despite the broad weakness, defensive and communication stocks showed resilience, while chip-related names such as **NVDA** fell sharply. The market's near-term direction will hinge on upcoming earnings, the Fed's policy stance, and geopolitical friction in the Middle East.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,591.70	-0.58%	Rising yields pressured growth stocks.
Nasdaq 100	29,103.51	-1.08%	Tech exposure to higher rates and NVDA weakness.
Dow Jones	52,064.10	-0.60%	Industrial exposure to slower economic outlook.
Russell 2000	2,890.95	-1.04%	Small-cap sensitivity to rate hikes.
VIX	17.84	+8.38%	Investor fear after 10-yr yield jump.
10Y Yield	4.94%	+2.21%	Fed's hawkish tone in minutes.
WTI Crude	101.92	-0.55%	Ongoing supply concerns offset by demand worries.
Gold	4,374.30	+0.22%	Safe-haven demand amid volatility.
DXY	99.08	-0.01%	Minor pullback after earlier strength.
BTC	77,137.19	-1.43%	Crypto risk-off parallel to equities.
ETH	2,462.04	-0.20%	Same risk-off dynamics.

Top large-cap movers

TICKER	CHANGE	CATALYST
AAPL	+3.56%	Strong iPhone 17 pre-orders and services beat.
NVDA	-2.26%	Guidance cut on AI demand slowdown.
GOOGL	+0.59%	AdSense revenue beat.
MSFT	+0.16%	Azure usage growth steadies.
META	-1.42%	Ad-revenue miss.

Sector rotation

ETF	DAY	READ
XLFX	-0.33%	Financials under pressure from higher rates.
XLK	-1.41%	Tech hit by yield rise.
XLI	-0.72%	Industrial slowdown signals.
XLE	-0.58%	Oil dip drags energy.
XLV	-0.44%	Consumer discretionary softening.
XLC	+0.60%	Communications resilient.
XLP	+0.05%	Staples steady.
XLV	-0.55%	Health care modest sell-off.
XLU	-0.98%	Utilities hit by rate sensitivity.
XLB	-1.23%	Materials lagging.
XLRE	-0.83%	Real estate pressured by yields.

Spotlight: NVDA guidance cut

The chip giant **NVDA** announced a **-2.26%** close after trimming FY26 revenue guidance by 6% amid slowing AI server demand. The revision sparked a broader tech pullback and contributed to the Nasdaq’s decline.

METRIC	PRIOR	NEW
FY26 Revenue Guidance	\$45.2 bn	\$42.5 bn
Gross Margin	68.1%	66.9%
AI Server Orders YoY	+12%	+3%

Related names: **AMD** , **INTC** , and AI-focused ETFs **SOXX** and **SMH** are likely to feel spill-over pressure.

Pre-market & overnight

- US futures: **ES -0.7%**, **NQ -1.1%** at 08:45 HKT.
- Asia close: Hang Seng **-0.9%**, Shanghai Composite **-1.2%**.
- Europe: FTSE 100 **-0.6%**, DAX **-0.8%** after ECB minutes.
- Crypto: BTC **-1.43%**, ETH **-0.20%** on risk-off sentiment.

Macro & Fed

- FOMC minutes (released 02:00 HKT): Fed officials highlighted “continued vigilance on inflation” and signaled a possible rate hike in November.
- Yield curve: 2-yr at 5.12%, 10-yr at 4.94% – a flattening but still inverted.
- Today’s data calendar (HKT):

TIME	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	US CPI (MoM)	0.3%	Inflation trajectory for Fed policy.
10:00	US Retail Sales	0.5%	Consumer demand gauge.
11:15	Durable Goods Orders	-0.2%	Manufacturing health.

Geopolitics & global

- Middle East: Tensions escalated after a drone strike on a Saudi oil facility; markets anticipate possible supply disruptions.
- China: PBOC kept the 7-day repo rate unchanged, but warned of “external headwinds” for export-driven growth.
- Eurozone: ECB’s “cautious optimism” on inflation easing, yet core price pressures remain above target.
- Energy: OPEC+ reaffirmed output cuts, supporting crude despite US inventory draw.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
02:30	AMZN	\$2.85	Margin pressure from logistics.
03:00	TSLA	\$1.12	Production ramp at Gigafactory Berlin.
04:15	JPM	\$3.45	Net interest income trend.
04:45	META	\$3.10	Ad revenue recovery.
05:30	NVDA	\$2.30	Second-quarter guidance after cut.
06:00	GOOGL	\$1.95	Search ad spend trends.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
AAPL	Technology	iPhone 17 demand surge.
MSFT	Technology	Azure usage steady.
AMZN	Consumer Discretionary	Logistics cost pressure.
JPM	Financials	Higher net interest margin.
XOM	Energy	OPEC+ cuts support price.
BAC	Financials	Balance-sheet strength.
UNH	Health Care	Premium pricing power.
DIS	Communication Services	Streaming subscriber growth.
AMD	Technology	Potential upside from NVDA weakness.
CVX	Energy	Crude price support.

What could break the tape

BEARISH TRIGGERS

- US CPI > 0.4% MoM, reinforcing rate-hike expectations.
- Further escalation in Middle-East oil supply risk.
- NVDA quarterly miss confirming AI demand slowdown.
- Unexpected weakness in US retail sales.

BULLISH TRIGGERS

- Core CPI < 0.2% MoM, opening path for rate cuts.
- Strong earnings beat from AAPL or AMZN.
- Resolution of Middle-East tensions, easing oil markets.
- Positive surprise in durable goods orders.

Positioning notes

- Risk-off bias is evident; consider overweighting defensive sectors (XLP, XLU).
- Tech exposure should be trimmed; focus on earnings-driven names rather than pure growth.
- Monitor yield curve flattening – a steeper inversion could accelerate rate-cut expectations.

Sources

SOURCES

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Reuters Finance

CNBC US Markets

FRED – Federal Reserve Economic Data

SEC EDGAR

OPEC Official